



Product Health Diagnostic & KPI Analytics Platform - Root Cause Analysis

Product Performance · Funnel & User Retention Analysis

1. Problem Statement

The dashboard showed an overall **Product Health Score of 70.9/100**.

The score itself was useful, but it did not explain **why the product was not performing closer to its targets**.

So I broke the problem down into smaller questions:

Is the problem with payments, the ordering journey, user retention, acquisition quality, or product engagement?

2. What I Investigated

I started with five possible causes.

H1 — Payment Problems

Hypothesis: Users are failing to complete orders because payments are failing.

What I found: Payment success was **95%**, above the 90% target.

Conclusion: Payment failure does not appear to be the main issue.

H2 — Funnel Drop-off

Hypothesis: Users are leaving before they reach the ordering stage.

What I found: The biggest losses were earlier in the funnel, particularly around the search/restaurant and restaurant/cart stages.

Conclusion: This is a clear area to investigate.

H3 — Order Completion

Hypothesis: Users are reaching the ordering process but some orders are not being successfully completed.

What I found: Order success was only 72%, compared with a 90% goal.

Conclusion: Supported.

The next step would be to understand exactly why those unsuccessful orders are happening.

H4 — Retention

Hypothesis: Users are not coming back after their initial interaction.

What I found:

- Retention: **63%**
- Churn: **37%**
- New-user churn: **44%**
- At-risk user churn: **45%**

The analysis identifies churn based on users who do not have a later session after signup.

Conclusion: Retention is a significant product-health issue.

H5 — Acquisition Quality

Hypothesis: Different acquisition channels may be bringing users with different levels of engagement.

What I found: Retention ranged from approximately **48% to 78%** across channels.

Conclusion: Acquisition quality is worth investigating further.

3. Root Cause 1 — Early Funnel Friction

The funnel showed that users were more likely to continue once they had reached the cart.

The larger opportunity appeared earlier in the journey.

For example:

Restaurant View → Cart = 74.58%

while:

Cart → Checkout = 88.64%

and:

Checkout → Payment = 91.03%

This suggests that the product should first look at the **discovery and restaurant-selection experience**.

Possible areas to investigate include:

- search relevance,
- restaurant recommendations,
- menu experience,
- pricing/value visibility,
- ease of adding items to cart.

4. Root Cause 2 — Order Success Gap

One of the clearest gaps was:

Payment Success = 95%

but

Order Success = 72%

This tells me that payment processing by itself is probably not the complete explanation for unsuccessful orders.

The next analysis should break unsuccessful orders down by:

- failure reason,
- device,
- payment method,
- order value,
- user segment,
- restaurant,
- time period.

That would help identify where the remaining gap is coming from.

5. Root Cause 3 — New Users Are More Likely to Churn

New users had:

56% retention

44% churn

Power Users had:

74% retention

26% churn

This difference suggests that deeper engagement is associated with stronger retention.

So rather than trying to improve retention for everyone in the same way, I would first study **what happens during the early user journey**.

For example:

- How many sessions does a retained user have?
- Which features do they use?
- Do they place an order?
- How quickly do they return?
- Which parts of the product do churned users fail to reach?

6. Contributing Factor — Acquisition Quality

The acquisition data showed meaningful differences in retention.

Google Ads users had approximately **78% retention**, while Instagram Ads users had approximately **48% retention**.

This does not prove that the acquisition channel itself causes the difference.

However, it is a useful signal to investigate further by comparing users from each channel on:

acquisition → conversion → repeat usage → revenue

7. Contributing Factor — Feature Adoption

Feature adoption was **61% overall**, but individual features had very different adoption levels.

AI Recommendations had **22% adoption**, while Reorder had only **9%**.

This suggests that overall feature adoption can hide differences between individual features.

For low-adoption features, I would check whether users:

- do not notice the feature,
- do not understand its value,
- find it difficult to use,
- or simply do not need it.

8. What the Experiments Tell Us

The A/B tests produced mixed results.

For example, the selected experiment showed:

A: 56.25% conversion

B: 53.85% conversion

But the result was marked **not statistically significant**.

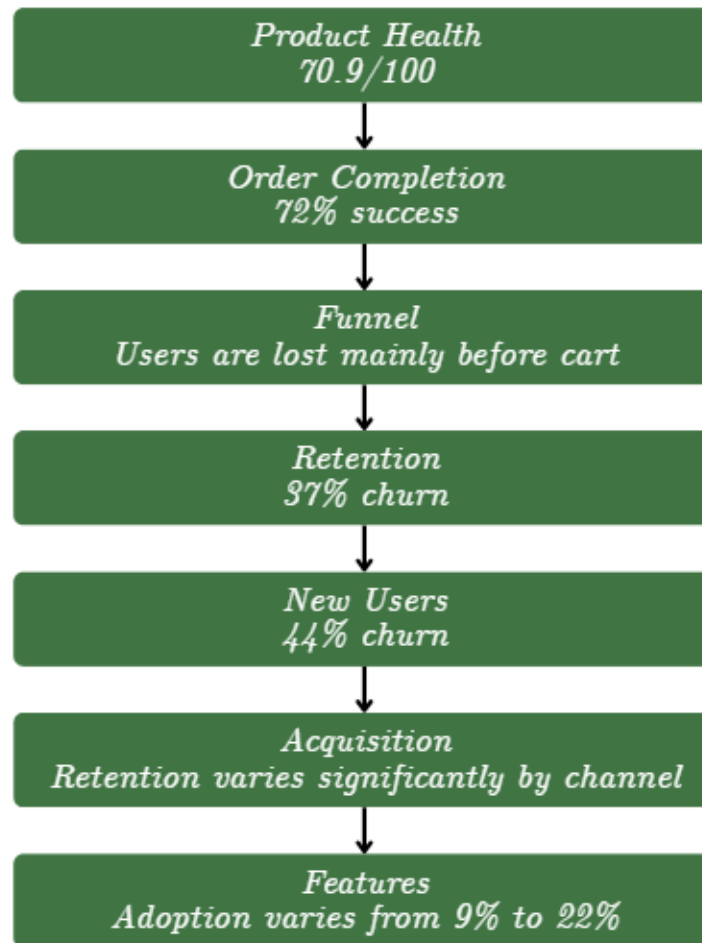
So the difference is useful as a signal, but it is not enough to say that one version definitely performs better.

The other experiments also showed different results, with some test variants above the control and others below it.

This is why I would use experiment results together with significance testing rather than looking at conversion percentage alone.

9. Root Cause Summary

The analysis points to a combination of issues rather than one single problem.



10. Final Diagnosis

The main product-health issues appear to be:

1. Early funnel friction

Users are being lost during the discovery and restaurant-selection journey.

2. Order completion gap

Order success is significantly below the target even though payment success is strong.

3. Retention problem

A sizeable group of users does not return, with New and At Risk users showing particularly high churn.

4. Different acquisition quality

Users from different channels behave differently after acquisition.

5. Uneven feature adoption

Some product features have much lower usage than others.

11. What I Would Do Next

I would not try to fix everything at once.

First

Understand the 28% unsuccessful-order gap.

Find out exactly why orders are failing.

Second

Improve the discovery-to-cart journey.

Investigate where users lose interest between restaurant discovery and adding an item.

Third

Focus on new-user activation.

Compare the first few sessions of retained and churned users.

Fourth

Look at acquisition quality.

Compare channels using both conversion and retention.

Fifth

Keep running controlled experiments.

Use statistical significance and sufficient sample size before making major product changes.

12. How I Would Know the Fix Worked

I would track:

- **Order success rate** — increase toward 90%
- **Churn rate** — reduce toward 15%
- **Retention rate** — increase from 63%
- **Restaurant → Cart conversion** — improve from 74.58%

- **Feature adoption** — increase meaningful usage
- **Acquisition-channel retention** — monitor changes over time
- **A/B test significance** — validate changes before rollout

The overall goal is simple:

Make it easier for users to complete an order and give them enough value to come back.